

Question 1. As presented in-class, *Newell Brands* (aka just “*Newell*”) is a diverse, multi-national & innovative company that creates a large wake in the global, corporate world. A historically above-average performing firm, *Newell* leads the way with many creative approaches to managing its workforce. Given the strategic issues facing *Newell*, answer the following:

- a. **What are the core competencies of *Newell*? As a conglomerate, what knowledge, skills & abilities would their strategic leaders need & why?**

Conglomerate means that a company with many brands together to form a whole big companies but have distinct functions/qualities. *Newell* is a conglomerate company with around 60 small companies. Some of its core competencies are:

1. **Brand Portfolio Management:** *Newell Brands* manages a diverse portfolio of well-known brands such as Rubbermaid, Sharpie, Paper Mate, Graco, and many others. The company's expertise lies in effectively developing, marketing, and maintaining these brands to meet consumer needs and preferences. Mergers and acquisitions are also a part of *Newell*. *Newell* did acquire big companies like sharpie, rubbermaid. Although this strategy has seen to fail in the recent years, this strategy was also one of the reason I believe *Newell* was able to be successful.
2. **Innovation and Product Development:** *Newell Brands* is focused on innovation to drive growth. The company invests in research and development to create new products and improve existing ones. For instance: rubbermaid is a product based company that depends on innovation and ideas. *Newell* is always coming up with new innovative ideas to attract the consumers. However, technologies has taken over the product design and innovation by setting a new bar for newell.
3. **Operational Excellence:** *Newell Brands* emphasizes operational efficiency and effectiveness across its supply chain and manufacturing processes. By optimizing processes and reducing costs, the company can deliver value to customers while maintaining profitability. Despite *Newell*'s several drawbacks, I must accept one of its marvelous achievements in the supply chain. It has been able to supply from many countries including China for decades. Not just China, *Newell* has been able to be extremely efficient in supply chain internationally as well as nationally.

Every leader should have leadership qualities such as visionary, financial knowledge, communication, analytical technical, team work, ability to work under pressure and uncertainty, relationship management. However, I believe the KSA(knowledge, skills and ability) is a little different in leader for a conglomerate business as it will have much more competition and diverse areas of businesses. Therefore, I will only be stating an important ones. A conglomerate business leader, responsible for overseeing diverse businesses. I think the most important

knowledge should be :

Industry Expertise: A conglomerate leader should possess deep knowledge and understanding of the industries in which the conglomerate operates. This includes staying ahead of market trends, regulatory changes, and emerging technologies relevant to each business segment. I believe nothing can beat an experience so, knowledge in the area of conglomerate can benefit the most.

Similarly, the skills should be :

Change Management: As conglomerates evolve and adapt to market dynamics, leaders need robust change management skills to drive organizational transformation, manage integration processes during mergers and acquisitions, and foster a culture of innovation and continuous improvement. As much as market is a dynamic environment that constantly changes, conglomerate market is dynamic is a whole different level. Being able to change by predicting the future is a skill is very important just like the CEO of Walmart mentioned.

Lastly, the ability is

Adaptability and Flexibility: Conglomerate leaders must be adaptable and flexible in navigating diverse business environments, managing uncertainties, and responding to changing market conditions, regulatory requirements, and competitive pressures. I strongly think this is very important, from the speech of CEO of Walmart we covered in class, it is important to change predicting what the future will be is the key factor of global dominance. The competitors might already be thinking what the present market will be but to be able to predict future and start making changes today beats the competitors.

- b. Newell has historically been a very successful company. However, with this success has come many threats to their business model. Conduct a strategic audit using the Mintzberg framework to inform your discussion of dominant element and corresponding organizational type. How is Newell MOST vulnerable using the results of your analysis?**

Using the Mintzberg framework for a strategic audit :

- 1. Strategic Apex:** Newell's strategic apex refers to its top management team responsible for setting the company's overall direction and strategy. Historically, Newell has pursued a strategy of growth through acquisitions, expanding its portfolio of brands and diversifying across multiple consumer goods categories. I think the strategy of acquisition is what made Newell a big company by knowing when to acquire. For instance; it goes by the saying, if you can't win against the enemy you buy and join them.
- 2. Operating Core:** The operating core represents the employees directly involved in producing goods or delivering services. In Newell's case, this includes product designers,

manufacturers, marketers, and sales teams responsible for developing and selling its wide range of consumer products.

3. **Middle Line:** The middle line consists of managers who coordinate between the strategic apex and the operating core. At Newell, these managers oversee specific business units or product categories, ensuring alignment with overall corporate strategy while managing day-to-day operations. A proper reporting manager is essential for an organization to run smoothly.

4. **Technostructure:** The technostructure includes analysts or specialists responsible for designing systems and processes to support organizational activities. In Newell's context, this involves supply chain management, procurement, financial analysis, and other functions critical to the conglomerate's operations. As Rubbermaid is based on innovation, it would fall here.

5. **Support Staff:** Support staff provides services to the organization, such as HR, IT, legal, and administrative functions. These roles enable smooth functioning of the organization and support the core business activities. Ability to spot the right fit for the company is quite important. As Newell is a big brand, I think have been able to do this the correct way.

6. **Ideology:** Ideology encompasses the shared values, beliefs, and culture within the organization. Newell has historically emphasized efficiency, cost-effectiveness, and operational excellence as part of its corporate culture.

Dominant Element and Organizational Type:

Considering Newell's historical emphasis on growth through acquisitions and its diversified portfolio of brands, the dominant element in the organization I would say is **the strategic apex**. Newell's strategic decisions, such as mergers and acquisitions, drive its growth and shape its overall strategic direction. I personally believe so, because it has more than 30 small brands under it, all due to acquisition.

The corresponding organizational type can be characterized as a **diversified conglomerate**.

Vulnerabilities:

Newell's most significant vulnerability lies in its **dependence on acquisitions for growth and diversification**. While acquisitions can provide opportunities for expanding into new markets and product categories, they also pose risks, including **integration challenges, cultural clashes, and strategic misalignment**. It may seem to have worked in the past, but the same strategy doesn't always work. Additionally, I think rapid expansion through acquisitions can strain **financial resources and dilute management focus**, leading to inefficiencies and operational challenges.

Maintaining synergy across diverse business units and effectively managing a large portfolio of brands requires robust organizational capabilities and integration efforts, which can be challenging to sustain over the long term. Additionally, if we think about it simply, is it really possible to handle so many brand ? and still be able to maintain the quality ?

- c. **Regarding mergers & acquisitions, has *Newell's* strategic moves provided a competitive advantage or not? Please be sure to provide specifics.**

Yes, Newell has had competitive advantages in the past but not anymore.

Through strategic acquisitions, Newell has diversified its product portfolio significantly. For instance, the acquisition of Rubbermaid in 1999, and Sharpie in 1992. This diversification minimizes the company's reliance on specific markets and enhances its competitive position by catering to a broader customer base.

However, the Jarden corp acquisition in 2016 is not found to help the company. I'm afraid Newel might turn into a Zombie Business soon at this rate. The stocks prices has declined around 70% in the last ten years, Jarden acquisition has not created any share holder value. And Newell has atleast acquired 3 companies in the last ten years. Acquisition is not helping the company and its evident by now.

Question 2. We discussed the George Washington case in class. The case highlights the macro-environment of the *Continental Army's* current situation in 1776 and how their rival, the British Army, was led by General Howe. Using this case and the 'Siege of Boston' discussed in class, please do the following:

- a. **Using the *Continental Army* as a proxy for an organization, describe what resources and capabilities General Washington had in considering his next strategic move (using Chapter 4 of Thompson et al. as a reference).**

The resources into two types: tangible and intangible resources. The Continental Army, led by General Washington, exhibited a range of resources and capabilities during the critical period in 1776. In regards to tangible assets, I would say that the Continental Army faced challenges. The soldiers were their primary strength, while the availability of weapons and financial resources was present but insufficient and lacking.

1. **The army /soldiers :** In my opinion, as highlighted in the case, General George Washington possessed a significant advantage with a larger number of troops compared to the British forces. This stands out as one of General Washington's paramount strengths and a crucial asset. Personally, I firmly believe that in warfare, the size of the army holds utmost importance. While tactics certainly play a role, especially in the absence of technological advancements during the 1776 period, numerical strength emerges as the most critical factor. Thus, General Washington had a significant advantage in the number of soldiers compared to his opponents.
2. **Weaponry and equipment:** There were some but it is important to note that weapons were severaly lacking. This was a factor Washington as well as his fellow mates had concerns about.

3. **Finances:** Nathanael Greene's responsibility for converting stolen British goods into currency to fund the war effort, highlighting their financial struggles. This shows how severely lacking they were on finances.

However, on the intangible side, Washington was extremely rich. The army benefited from human assets and intellectual capital, including General Washington's leadership skills and the disciplined commitment of the troops. When it comes to war, I believe one should be equally rich in tactics as much as in number of soldiers. Only one of them is not enough to win the war. General **Washington's intellectual capacity** was extremely valuable to win the war. Washington knew what was needed to win against British. **Qualities of soldier such as Discipline, toughness, respect, commitment, toughness.** He also assigned tasks based on an individual's strengths demonstrating organizational skills and recognition of individual talents. It can be seen from the role of Nathaniel, Sullivan, Clinton. Most of all he was brave and smart.

The army's ability to forge **strategic alliances**, manage logistics effectively, and handle finances showcased its organizational capabilities. General Washington's leadership, particularly in strategic decision-making, played a pivotal role. Challenges such as discipline issues and financial strain necessitated dynamic management. The consideration of invading Boston underscored the strategic thinking involved in utilizing the available resources and capabilities.

- b. **Provide a SWOT analysis (i.e., Strengths, Weaknesses, Opportunities and Threats) of the Continental Army at this point in the Revolutionary war (March 1776) (also refer to Chapter 4 of Thompson et al. as a reference**

Strengths:

Leadership and Strategy: I think George Washington's ability to integrate all the troops together without food, and resources was something that convinced me that he is a real leader and had qualities of it.

Growing Army Numbers and Qualities: Even though General Washington spent initial years forging a disciplined and united large number of army, ensuring order and efficiency. There was a significant commitment from the soldiers, showing loyalty to General Washington. I think this really was an investment.

Strategic Alliances: Washington successfully sought alliances, securing essential resources like gunpowder, ammunition, and military weaponry from France. I have not been in a war but my personal experience is that you can't win a fight without having alliances, this was a visionary move by Washington.

Weaknesses:

Limited Arms and Powder: General Washington's staff did not believe attacking Boston, a key American city occupied by the British for the last six years, was a good

idea because of the lack of arms and powder. As much as tactics, numbers are important in a war, you can't win a gunfight with a knife. So, a proper equipment is crucial.

Lack of Recognition and discipline: Issues such as drunken squabbles and the need to address soldiers' discontent added internal challenges. With the army's rapid growth, it became challenging for leadership to know all soldiers. I think this creates a problems because it will be hard to manage and integrate.

Dependency on Foreign Resources: The growing reliance on foreign sources for food, weaponry, and infrastructure strained the new republic economically. This is also another weakness as they didnt have independence.

Opportunities:

British Vulnerabilities: The Battle of Bunker Hill demonstrated British vulnerabilities, creating an opportunity to capitalize on their weaknesses and potentially win decisive battles. During the Battle of Bunker Hill, 45% of the British force was lost as casualties, marking it as the heaviest loss for the British during the Revolutionary War. I personally believe, this is what gave Washington a confident to attack on British even without proper tools.

French Support: In my view, the saying "the enemy of my enemy is a friend" holds true in this case, as the British were not only affecting Americans but also the French. France could provide support as a friend, even though their reliability was questionable, given their fear of the British, leading them to back out of commitments several times in the past.

Threats:

British Superiority: The British army, better equipped and well-rested, posed a threat to Continental Army plans, especially in attacking Boston. Not just in terms of equipment but also the British was the conqueror who was feared by all countries. This was a threat to all countries.

British Harassment: British actions, including harassment of citizens and looting in Boston, created a threat to the stability and business infrastructure of American cities. It jus scared people mentally too much.

- c. Consider whether the outcome of the 'Siege of Boston' affected the eventual signing of the Declaration of Independence in July 1776. Please explain either way in your answer why the 'Siege of Boston' was strategic or not.

The outcome of the Siege of Boston significantly influenced the eventual signing of the Declaration of Independence. The strategic importance of the Siege of Boston, as highlighted in the case and in conjunction with the George Washington case, can be analyzed in terms of its impact.

Strategic Significance of the Siege of Boston are:

1. **Military Morale and Confidence:**

The successful siege boosted colonial morale, demonstrating their ability to stand up against a professional British army. This morale boost was crucial for instilling confidence among the colonists in their fight for independence. The battle gave the King of France confidence in the ability of the Continental Army, resulting in French military aid to the colonies. I think this first victory over the British in Boston, set an example that it is possible.

2. **Strategic Advantage and Resource Allocation:**

The evacuation of British forces from Boston freed up valuable resources and allowed the Continental Army to focus on other fronts. This strategic advantage enabled them to allocate resources more efficiently and plan future military campaigns. I think after this the soldiers were able to get relatively more food as there is access to their resources, and didn't have to pay tax to the British.

3. **International Relations:** The success of the siege garnered international attention, particularly from France. This recognition was a critical factor in securing French support, which played a pivotal role in the overall success of the American Revolution.

In war, a braveness is important and that can be gained through victories be it little or big. So, I think siege of Boston made them more confident and well known brave soldiers that creating an impression on others.

Question 3. McDonalds is an American fast-food franchise that has demonstrated long-lasting business acumen and success. However, the firm's business model has come under attack and faces enormous competitive pressures. Now, with regard to McDonalds' competitive status, please answer the following:

- a. **Discuss whether McDonalds demonstrates either a differentiation or low-cost strategy (Chapters 1 and 5 in Thompson et al. book). Please provide evidence to support your analysis.**

McDonald's primarily follows a **broad low-cost strategy**. A strategy that focuses on achieving lower overall costs than rivals on comparable products to attract a broad/large number of buyers. For instance; there are huge number of customers of McDonald and they sell simple products like burger and fries, nothing special. It can be seen in:

1. **Value Menu:** McDonald's is well-known for its value menu, offering a range of affordable options. By providing a variety of menu items at lower prices, McDonald's attracts a broad spectrum of buyers, including budget-conscious consumers. There is no reputation of McDonalds as rich people food or poor people food at least to me, it's simply a value meal.
2. **Global Standardization:** McDonald's maintains consistency in its offerings worldwide. This standardized approach not only ensures a uniform quality of products but also contributes to cost reduction through streamlined production

and supply chain processes. For instance: when I went to McDonald in Korea, I realized different menus but the process and the essence of Mc Donald was the same in North America.

3. **Efficiency** : Mc Donalds is personally my favorite place because I don't have to wait for my food more than 10 minutes. Its processes are streamlined to ensure quick service, which is essential for a fast-food restaurant. I watched this movie about McDonalds where two brothers calculated and analyzed every move of an employee and designed the kitchen in such a way that there is efficient movement and smooth work.

b. Using a PESTEL analysis, discuss what issues *McDonalds* faces competitively (or not) (Chapter 3 in *Thompson et al.* book).

PESTEL is an analysis done for companies that work in macro environment frameworks. Macroenvironment frameworks is how a company is affected by external matters which I will discuss below:

Political : As Mc Donald is a global businesses, there are different safety standard in different countries which is a challenge. On the top of that, the safety standard keeps evolving in many countries, this might be hard to keep track of and stay on the top of it. On the other hadn, there are potential tarriifs and trade policies, that Mc Donalds has to comply with also.

Economic: The inflation affects all businesses and also Mc Donalds. People have less spending habit, it significnatly afeccts the sales of Mc Donalds.

Social : As I mentioned in the presentation also, that people have become very health conscious after Covid. Mc Donalds might be great value meal but it is nothing close to healthy. This might hamper its businesses extremely.

Technological Factors: Technologies has changed the human life completely. There are robots serving the food, and even cooking in some kitchen. I still think Mc Donald is gaining advantage from it because there is a self order technique at Mc Donalds. This could be a plus point for Mc Donalds.

Environmental: The first reason Mc Donalds was hit immediately was because it was a takeaway, you wouldn't have to do the dishes and take your food anyplace you want to eat. I had seen an advertisement about it. However, the waste product it produces seems to be completed neglected by Mc Donalds.

Legal: The other news that we always see is the wages that Mc Donalds provides to employee. But as it is a huge company, the legal factors might be much more than we see in news.

All in all, I think Mc Donalds faces severe challenges from PESTEL point of view.

- c. **Which McDonalds products/services would you identify as a “cash cow” (i.e., based on the *Boston Consulting Group’s (BCG)* portfolio matrix and *Thompson et al. Chapter 8* concepts we discussed in class)? Of those “cash cow” products/services, which would you *build* and which would you *divest*? Why?**

Cash cow refers to the company’s product that has a high market share in industry but experiences low growth. Mc Donalds cash cow product would be:

Big Mac: I think Big mac is Mc Donalds’s popular product. It has a good presence in market and is a significant contributor to revenue as most people buy it. It is high market share as it sells the most, it is low market growth probably because it has already attracted all the customer that it can, which is why the growth isn’t rapid.

Fries: I think it’s rare to find people go to Mc Donalds and not get a fries anywhere in the globe. So, it has high market share, but low market growth maybe because it has already expanded as much as it can.

Beverages: Specially coke, or any soda is another cash cows. It has high market share as people don’t forget to get drinks from Mc Donalds, low market growth as it also might have expanded up to its capacity.

I personally would build Big Mac and Fries:

BigMac & Fries because I think we can customize it into some popular international dish. It could have an influence of Indian food as it is growing in popularity. Something like MasalaBigMac and Masala Fries. I have seen people pay so much more money than fries just for masala fries. I see the potential in it.

However, I wouldn’t divest anything because these all have significantly affected the revenue of the Mc Donalds. I think it wouldn’t be a good move to take out any of it from business point of view.